

**SUBSTITUTE FOR  
HOUSE BILL NO. 5931**

A bill to amend 1978 PA 368, entitled  
"Public health code,"  
by amending section 12606a (MCL 333.12606a), as amended by 2023 PA  
318.

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

1       Sec. 12606a. (1) A cigar bar in existence on May 1, 2010 that  
2       meets the requirements of this section is exempt from the smoking  
3       prohibition of section 12603 and may allow smoking on its premises.  
4       ~~Except as otherwise provided in subsection (3), to~~ **To** qualify for  
5       the exemption under this section, the person that owns or operates  
6       a cigar bar must file an affidavit with the department on or before  
7       the expiration of 30 days after May 1, 2010 and ~~on~~ **not later than**  
8       January 31 of each year after May 1, 2010. The affidavit must be



1 signed by the owner or operator of the cigar bar and must certify  
2 that the cigar bar was in existence on May 1, 2010 and that it  
3 meets all of the following requirements:

4 (a) In the 30-day period immediately preceding May 1, 2010,  
5 the cigar bar generated 10% or more of its total gross annual  
6 income from the on-site sale of cigars and the rental of on-site  
7 humidors.

8 (b) Except as otherwise provided in this subdivision, the  
9 cigar bar ~~generates~~ **generated** 10% or more of its total gross annual  
10 income from the on-site sale of cigars and the rental of on-site  
11 humidors for ~~each~~ **the immediately preceding** calendar year. ~~after~~  
12 ~~the calendar year in which the first affidavit is filed under this~~  
13 ~~subsection. If the cigar bar has qualified for the exemption under~~  
14 ~~this section pursuant to subsection (2), the requirement under this~~  
15 ~~subdivision does not include the 3 calendar years immediately~~  
16 ~~preceding the calendar year in which the affidavit under subsection~~  
17 ~~(2) was filed.~~ **If the person that owns or operates the cigar bar is**  
18 **the successor of a person that previously owned or operated the**  
19 **cigar bar, the person may certify that the cigar bar will generate**  
20 **10% or more of its total gross annual income from the on-site sale**  
21 **of cigars and the rental of on-site humidors during the remainder**  
22 **of the then-current calendar year. The department may require a**  
23 **successor described in this subdivision to provide quarterly**  
24 **reports regarding the successor's compliance with its certification**  
25 **under this subdivision.**

26 (c) The cigar bar is located on premises that are physically  
27 separated from any areas of the same or adjacent establishment in  
28 which smoking is prohibited under this part or part 129 and where  
29 smoke does not infiltrate into those nonsmoking areas. As used in



1 this subdivision, "physically separated" means an area that is  
2 enclosed on all sides by any combination of solid walls, windows,  
3 or doors that extend from the floor to ceiling.

4 (d) The cigar bar has installed on its premises an on-site  
5 humidor.

6 (e) The cigar bar prohibits entry to an individual who is less  
7 than 21 years of age during the time the cigar bar is open for  
8 business.

9 (f) The cigar bar allows only the smoking of cigars on the  
10 premises that retail for over \$1.00 per cigar.

11 (g) The cigar bar prohibits the smoking of all other tobacco  
12 products.

13 ~~(2) For 1 calendar year only, a cigar bar qualifies for the~~  
14 ~~exemption under this section if an affidavit, signed by the person~~  
15 ~~that owns or operates the cigar bar, is filed with the department~~  
16 ~~and certifies that all of the following circumstances apply to the~~  
17 ~~cigar bar:~~

18 ~~(a) The cigar bar is located in a city with a population of~~  
19 ~~more than 32,000 and less than 34,000 that is located in a county~~  
20 ~~with a population of more than 100,000 and less than 105,000.~~

21 ~~(b) Not earlier than 2023, the cigar bar failed to file an~~  
22 ~~affidavit under subsection (1) for not less than 1 calendar year~~  
23 ~~and not more than 3 calendar years.~~

24 ~~(c) The cigar bar has not previously filed an affidavit under~~  
25 ~~this subsection.~~

26 ~~(3) If a cigar bar has qualified for the exemption under this~~  
27 ~~section pursuant to subsection (2), the cigar bar's affidavit~~  
28 ~~filing requirement under subsection (1) does not include the range~~  
29 ~~of calendar years described in subsection (2) (b), as applicable to~~



1 ~~the cigar bar.~~

2       **(2)** ~~(4)~~ A tobacco specialty retail store in existence on May  
3 1, 2010 that meets the requirements of this section is exempt from  
4 the smoking prohibition of section 12603 and may allow smoking on  
5 its premises. To qualify for the exemption under this section, the  
6 person that owns or operates a tobacco specialty retail store must  
7 file an affidavit with the department on or before the expiration  
8 of 30 days after May 1, 2010 and on January 31 of each year after  
9 May 1, 2010. The affidavit must be signed by the owner or operator  
10 of the tobacco specialty retail store and must certify that the  
11 tobacco specialty retail store was in existence on May 1, 2010 and  
12 that it meets all of the following requirements:

13       (a) In the 30-day period immediately preceding May 1, 2010,  
14 the tobacco specialty retail store generated 75% or more of its  
15 total gross annual income from the on-site sale of tobacco products  
16 and smoking paraphernalia.

17       (b) For each calendar year after the calendar year in which  
18 the first affidavit is filed under this subsection, the tobacco  
19 specialty retail store generated 75% or more of its total gross  
20 annual income from the on-site sale of tobacco products and smoking  
21 paraphernalia.

22       (c) The tobacco specialty retail store is located on premises  
23 that are physically separated from any areas of the same or  
24 adjacent establishments in which smoking is prohibited under this  
25 part or part 129 and where smoke does not infiltrate into those  
26 nonsmoking areas. As used in this subdivision, "physically  
27 separated" means an area that is enclosed on all sides by any  
28 combination of solid walls, windows, or doors that extend from the  
29 floor to ceiling.



1 (d) The tobacco specialty retail store prohibits entry to an  
2 individual who is less than 21 years of age during the time the  
3 tobacco specialty retail store is open for business.

4 (3) ~~(5) The~~ **Except as otherwise provide in this subsection,**  
5 **the** department may request additional information from a cigar bar  
6 or tobacco specialty retail store **if the department demonstrates by**  
7 **a preponderance of the evidence that the additional information is**  
8 **needed** to verify that the cigar bar or tobacco specialty retail  
9 store meets the requirements of this section. A cigar bar or  
10 tobacco specialty retail store shall comply with requests from the  
11 department under this section. **If the department determines that a**  
12 **photograph of a cigar bar or tobacco specialty retail store is**  
13 **needed to verify that the cigar bar or tobacco specialty retail**  
14 **store meets the requirements of this section, the department shall**  
15 **obtain the photograph itself and shall not require the cigar bar or**  
16 **tobacco specialty retail store to provide a photograph.**

17 (4) ~~(6)~~ Except as otherwise provided in this subsection, a  
18 cigar bar or tobacco specialty retail store that does not meet the  
19 requirements of this section or violates this section is not exempt  
20 from the smoking prohibition of section 12603 and shall immediately  
21 prohibit smoking on its premises. A cigar bar or tobacco specialty  
22 retail store that meets the requirements of this section, other  
23 than filing the affidavit as required under subsection (1) or ~~(4)~~,  
24 **(2)**, retains its exemption and may continue to allow smoking during  
25 the period beginning on the date the affidavit is due and ending on  
26 the expiration of 21 days after that date. However, if the  
27 affidavit remains unfiled after the 21-day grace period, the cigar  
28 bar or tobacco specialty retail store is not exempt from the  
29 smoking prohibition of section 12603 and shall immediately prohibit



1 smoking on its premises. A cigar bar or tobacco specialty retail  
2 store that loses its exemption under this subsection is not exempt  
3 from the smoking prohibition of section 12603, shall immediately  
4 prohibit smoking on its premises, and may only again qualify for  
5 the exemption under this section by filing an affidavit and meeting  
6 the requirements of subsection (1) ~~or~~ (2), ~~or~~ (4), as applicable.

7 (5) The department shall establish and maintain a webpage on  
8 the department's publicly accessible website to receive affidavits  
9 submitted under this section. The department shall establish the  
10 webpage not later than 180 days after the effective date of the  
11 amendatory act that added this sentence. The webpage must meet all  
12 of the following requirements:

13 (a) Be accessible to the public at no cost.

14 (b) Allow for a cigar bar or tobacco specialty retail store to  
15 submit and amend an affidavit.

16 (c) Provide real-time status updates to a cigar bar or tobacco  
17 specialty retail store regarding the status of the cigar bar's or  
18 tobacco specialty retail store's affidavit.

19 (d) Allow for a cigar bar or tobacco specialty retail store to  
20 select 1 of the following preferred methods of communication:

21 (i) The webpage.

22 (ii) Email.

23 (iii) Telephone.

24 (iv) Mail.

25 (6) This subsection applies beginning January 1, 2028. A cigar  
26 bar or tobacco specialty retail store shall submit an affidavit  
27 required under this section via the webpage established under  
28 subsection (5). The department shall, not later than 30 days after  
29 a cigar bar or tobacco specialty retail store submits an affidavit,



determine whether the affidavit is complete and notify the cigar bar or tobacco specialty retail store of its determination via the preferred method of communication that the cigar bar or tobacco specialty retail store selected under subsection (5)(d). If the department does not notify the cigar bar or tobacco specialty retail store within the 30-day period, the affidavit is considered complete. If the department determines that a cigar bar's or tobacco specialty retail store's affidavit is not complete, the cigar bar or tobacco specialty retail store may, not later than 30 days after the date of the department's notification, do 1 of the following:

(a) Correct the affidavit.

(b) Appeal the department's decision.

(7) An affidavit submitted under subsection (6) is effective beginning on the date that the affidavit is determined to be complete or the end of the 30-day period described in subsection (6), as applicable.

(8) If a cigar bar or tobacco specialty retail store appeals a decision of the department under subsection (6), the department shall conduct a proceeding as a contested case in accordance with chapter 4 of the administrative procedures act of 1969, 1969 PA 306, MCL 24.271 to 24.288.

(9) If a cigar bar or tobacco specialty retail store otherwise satisfies the requirements of this section, the cigar bar's or tobacco specialty retail store's qualification for an exemption under this section is transferable and is not affected by a change in the ownership, operation, or location of the cigar bar or tobacco specialty retail store. A successor owner or operator of a cigar bar or tobacco specialty retail store may continue, transfer,



1 relocate, qualify, or requalify the cigar bar or tobacco specialty  
2 retail store for an exemption under this section regardless of  
3 whether the exemption is active, has lapsed, has been suspended, or  
4 has otherwise been lost because of noncompliance with this section.  
5 A change in the ownership, operation, or location of a cigar bar or  
6 tobacco specialty retail store may occur at anytime, including  
7 before, during, or after any period in which an exemption has  
8 lapsed, been suspended, or otherwise been lost. A successor owner  
9 or operator of a cigar bar or tobacco specialty retail store may  
10 apply for, continue, transfer, relocate, qualify, or requalify for  
11 an exemption under this section in the same manner and under the  
12 same conditions as the predecessor owner or operator.